



MODULE 2 · INTERNATIONALIZATION AND PERFORMANCE

Internationalization and performance?

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SHARED FRAMING

One question. Four papers.

INTERNATIONALIZATION

relationship under debate

PERFORMANCE

Arregle et al. (2021)

Family ownership, governance, goals and context help explain why performance findings do not converge.

Ghemawat (2001)

CAGE shows that the costs and risks of crossing borders depend on cultural, administrative, geographic and economic distance.

YASIR MALIK · WHAT WAS THE FIELD ACTUALLY MEASURING?

Contractor et al. (2003)

Maybe contradictory findings are different segments of one nonlinear internationalization–performance curve.

Mezias (2002)

Maybe broad performance measures blend advantages and disadvantages instead of isolating the cost of foreignness.

Shared logic: the disagreement may come from both the phenomenon itself — and from how it is measured.

Market size is not market opportunity.

Distance Still Matters • TOOL KIT

The CAGE *Distance Framework*

The cultural, administrative, geographic, and economic (CAGE) distance framework helps managers identify and assess the impact of distance on various industries. The upper portion of the table lists the key attributes underlying the four dimensions of distance. The lower portion shows how they affect different products and industries.

	Cultural Distance	Administrative Distance	Geographic Distance	Economic Distance
attributes creating distance	different languages	absence of colonial ties	physical remoteness	differences in consumer incomes
	different ethnicities; lack of connective ethnic or social networks	absence of shared monetary or political association	lack of a common border	
			lack of sea or river access	
	different religions	political hostility	size of country	differences in costs and quality of:
	different social norms	government policies	weak transportation or communication links	• natural resources
		institutional weakness	differences in climates	• financial resources
				• human resources
				• infrastructure
				• intermediate inputs
				• information or knowledge

Original CAGE exhibit

STAR TV

A “surefire” Asia strategy that mispriced distance.

\$825M paid by News Corp. for Star

≈\$500M losses, fiscal 1996–1999

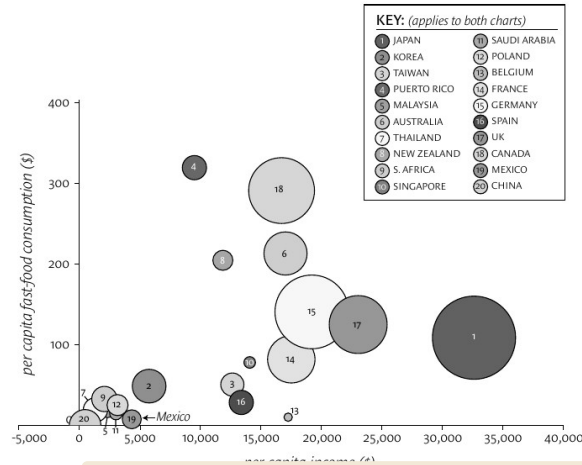
CULTURAL English-language programming underestimated local preferences.

ADMINISTRATIVE Broadcasting was politically sensitive; China restricted foreign satellite TV.

The same market looks different once distance is priced in.

COUNTRY PORTFOLIO ANALYSIS

Mexico ranks 16th of 20



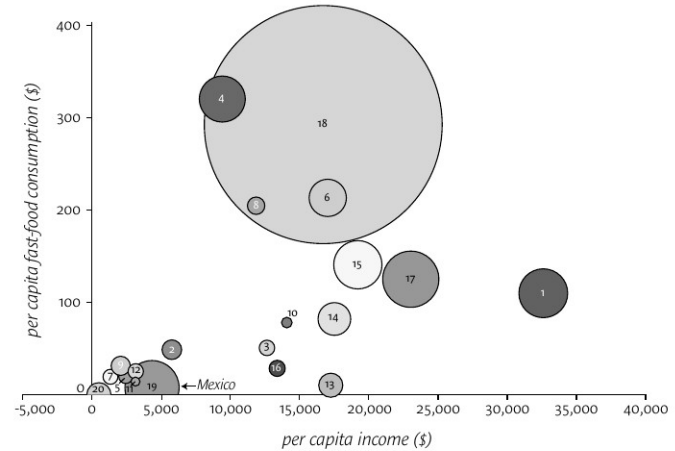
16th



2nd

AFTER ADJUSTING FOR DISTANCE

Mexico becomes a top-2 market



Same underlying market. Different strategic conclusion. Distance changed the opportunity estimate — not the market itself.

What the papers establish — and what they leave unresolved.

WHAT WE KNOW

Ghemawat

Foreign-market opportunity must be adjusted for distance; otherwise managers can misprice expansion.

Arregle

Performance findings remain inconsistent because ownership, governance, goals and context alter the relationship.

WHAT YASIR ASKS NEXT

Contractor

Is the internationalization–performance relationship nonlinear — one sigmoid rather than four contradictory findings?

Mezias

Are broad performance measures actually isolating the cost of foreignness — or mixing several effects into one number?

ARREGLE ET AL. (2021) · JIBS

After 220 studies, the performance question is still open.

220

studies reviewed

7

core IB themes

65%

published in the last 7 years

<20%

used IB theory directly

What the review found

Scale



39% of studies · most contradictory theme

Performance



12% of studies · positive and negative effects

Seven themes organize the literature

Scale

Scope

Entry mode

Location

Process

Timing

Performance

Implication for our core question: a single “internationalization → performance” coefficient can hide important contextual differences.

PART TWO OF TWO

What was the field actually measuring?

ARREGLE

2021

220 studies

DANIELA

GHEMAWAT

2001

CAGE distance

DANIELA

CONTRACTOR

2003

the sigmoid

YASIR

MEZIAS

2002

the measure

YASIR

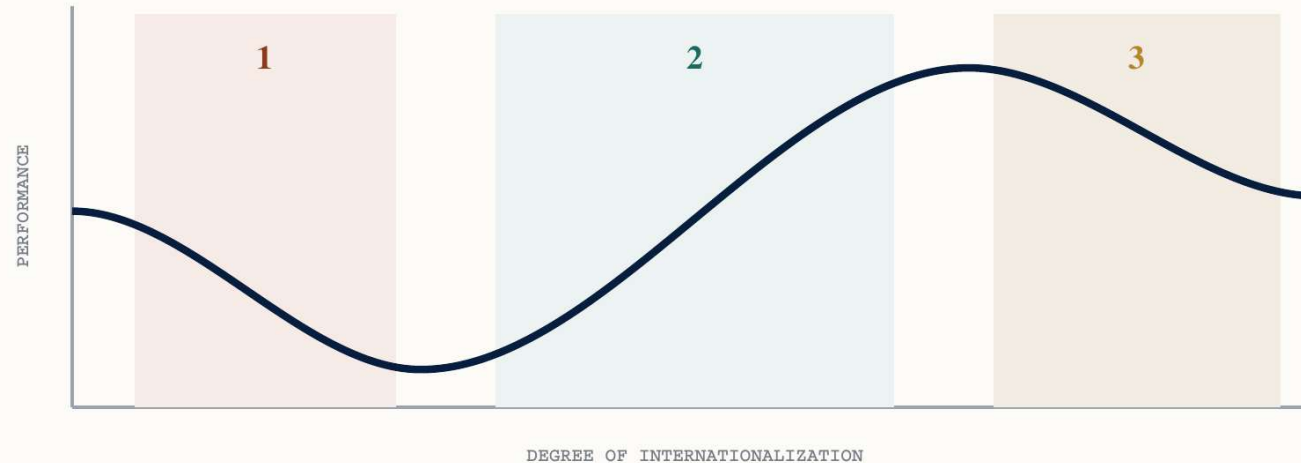
MY TWO

Daniela has shown where the field disagrees, and what distance is made of. I want the narrower question underneath both — when the field could not agree, what exactly was it measuring?

THEN THE CONCLUSION — WHAT ALL FOUR HAVE IN COMMON

CONTRACTOR, KUNDU & HSU (2003) · JIBS 34(1): 5-18 · AFTER FIGURE 1

Four findings. One curve.



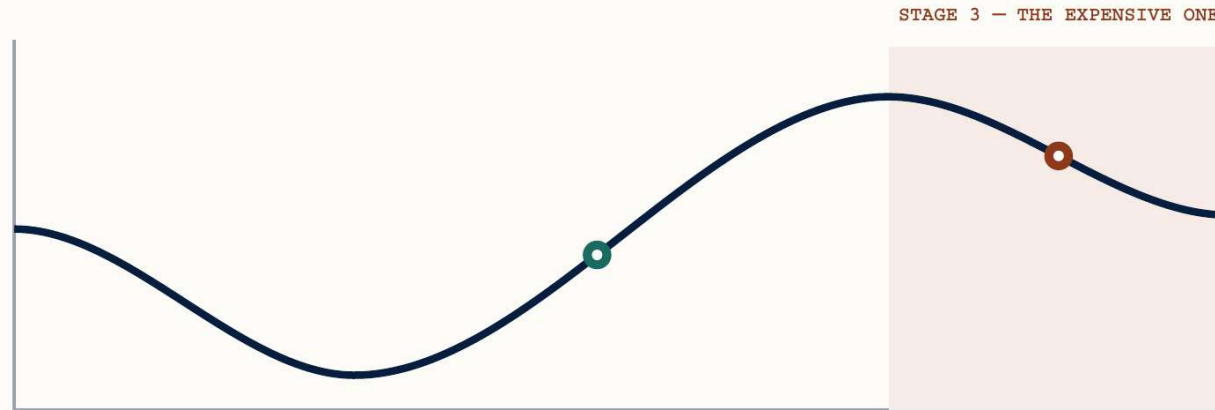
SAMPLE ONLY...

- **segment 1**
you publish a NEGATIVE linear result
- **segment 2**
you publish a POSITIVE linear result
- **segments 1+2**
you publish a U
- **segments 2+3**
you publish an INVERTED U

Thirty years of contradiction, and none of it was about firms. The literature was sampling different segments of one sigmoid and reporting each as a finding about the whole.

CONTRACTOR, KUNDU & HSU (2003) — THE FINDING THAT REACHES PRACTICE

Some firms walk into stage three more easily.



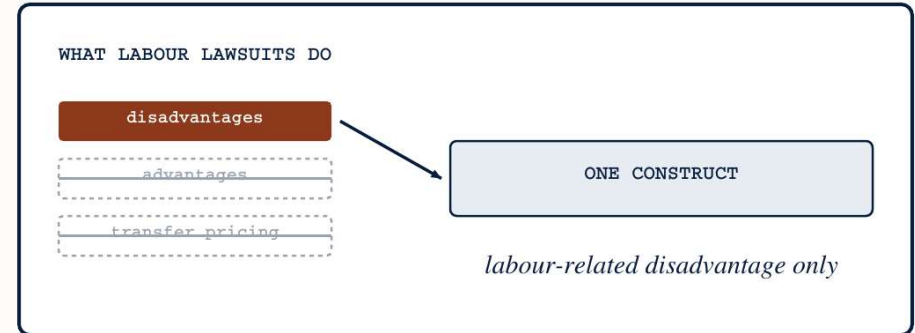
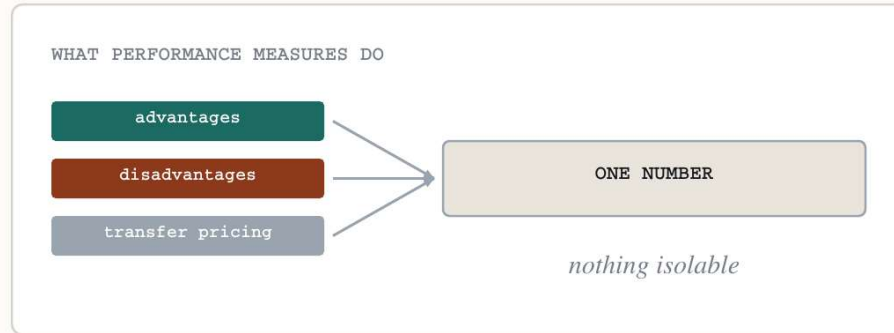
- **KNOWLEDGE-BASED SERVICES**
Advertising · market research · securities · publishing. Low fixed-asset exposure, so one more market is cheap to say yes to — and they drift into stage three.
- **CAPITAL-INTENSIVE**
Airlines · hotels · construction · retail. Fixed assets make every additional market an expensive commitment, so they stop sooner.

“Few companies possess the managerial tools that would tell them when they have over-internationalized.”

→ “SHOULD WE INTERNATIONALISE?” IS THE WRONG QUESTION. “WHERE ARE WE ON THE CURVE?” IS THE RIGHT ONE.

MEZIAS (2002) · SMJ 23(3): 229-244 · THE CRAFT LESSON

He did not fix the measure. He replaced it.



“While most performance measures aggregate advantages and disadvantages, labor lawsuits only measure labor-related disadvantage.”

486

foreign subsidiaries

486

matched US firms

\$600k+

average jury award

MATCHED ON INDUSTRY AND CITY — SO THE ONLY REMAINING DIFFERENCE IS FOREIGNNESS

CONCLUSION — ALL FOUR

What was measured, and what they thought they had measured.

	WHAT WAS MEASURED		BELIEVED TO BE
CONTRACTOR	segments of one curve	→	<i>the shape of the relationship</i>
MEZIAS	aggregate performance	→	<i>the cost of foreignness</i>
GHEMAWAT	market size	→	<i>opportunity</i>
ARREGLE	220 studies	→	<i>a settled question</i>

One diagnosis, four times: the field measured the wrong thing — or measured one thing while believing it had measured another.

Every one of them made progress by changing WHAT was measured, not by collecting more of the same thing. A literature that cannot converge because it cannot agree on a measure has a methods problem, not a theory problem.

TWO THINGS TO LEAVE YOU WITH

Eighteen years. Same question.

2003

Contractor, Kundu & Hsu

JIBS 34(1)

SUMIT K. KUNDU · FIU

⋮

author on both

2021

Arregle, ... Kundu, ...

JIBS 52

AND ARREGLE COUNTS IT

Of the 220 studies, internationalization performance is 12% of them — the smallest theme but one. Thirty years, and the question Contractor asked is the one the field looked at least.

3 SEP ENTRY MODE

If stage one is negative, mode choice is a decision about how much of that cost to absorb at once.

24 SEP INSTITUTIONS

CAGE is a pre-Hofstede way of saying what that session says with formal distance measures.

APPENDIX A · BACKUP — ONLY IF ASKED

The same error, in my own study.

Tversky & Kahneman (1974) — a wheel of fortune gave subjects 10 or 65 before they estimated the share of African countries in the UN. Median answers: 25 and 45.

WHAT MY MODEL MEASURES

Eight organisational interventions — training, rotation, analytical tools, structured processes, feedback, independent review, regulatory guidance, incentives — against anchoring bias, with expertise and confidence as moderators.

WHAT IT ACTUALLY MEASURES

Anchoring bias is captured by self-report, reverse-coded. It asks auditors to report how far their judgment was driven by a reference point — the one thing the bias reliably prevents them from noticing. Perceived judgment discipline, described as anchoring reduction.

Contractor measured segments of a curve. Mezias's field measured aggregate performance. I measured self-reported bias resistance. Three instances of the same error, and one of them is mine.

→ TVERSKY & KAHNEMAN ALREADY WARNED ME: "PAYOFFS FOR ACCURACY DID NOT REDUCE THE ANCHORING EFFECT."

APPENDIX B · EVERY QUOTE AND FIGURE, WITH ITS PAGE

Verification record.

PAGE	CLAIM	SOURCE	CHECKED
8	Sigmoid, three stages; four findings are segments of one curve	Contractor p.7, Fig. 1	EXACT
8	“Depending on which part of Figure 1 we examined...”	Contractor p.7	EXACT
9	Knowledge-based vs capital-intensive; lower fixed capital burden	Contractor p.9	EXACT
9	“Few companies possess the managerial tools...”	Contractor p.11	EXACT
10	486 foreign subsidiaries vs 486 US, same industries and cities	Mezias p.229–231	EXACT
10	“labor lawsuits only measure labor-related disadvantage”	Mezias p.231	EXACT
10	78.9% / 70.0% / 58.4%; award > \$600,000; fees ~\$100,000	Mezias p.232	EXACT
11	“varied and at times incompatible findings”	Arregle, abstract	EXACT
12	Performance is 12% of the 220 studies	Arregle p.6	EXACT
12	Kundu authored both the 2003 and 2021 papers	Both title pages	EXACT
A1	Wheel of fortune: 10 → 25, 65 → 45; payoffs did not reduce it	Tversky & Kahneman p.1128	EXACT

All verified against the source PDFs, 26 August 2026. Nothing is paraphrased and presented as a quote.

APPENDIX C

References.

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Ghemawat, P. (2001). Distance still matters: The hard reality of global expansion. *Harvard Business Review*, 79(8), 137–147.

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Arregle, J.-L., Chirico, F., Kano, L., Kundu, S. K., Majocchi, A., & Schulze, W. S. (2021). Family firm internationalization: Past research and an agenda for the future. *Journal of International Business Studies*, 52, 1159–1198.

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Contractor, F. J., Kundu, S. K., & Hsu, C.-C. (2003). A three-stage theory of international expansion: The link between multinationality and performance in the service sector. *Journal of International Business Studies*, 34(1), 5–18.

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Mezias, J. M. (2002). Identifying liabilities of foreignness and strategies to minimize their effects: The case of labor lawsuit judgments in the United States. *Strategic Management Journal*, 23(3), 229–244.

APPENDIX A

Tversky, A., & Kahneman, D. (1974). Judgment under uncertainty: Heuristics and biases. *Science*, 185(4157), 1124–1131.